



PHOTO BY CHANDRADEEP KUMAR

JEWEL IN THE CROWN Aakash Educational Services is the only profitable venture that Byju's has as of now

LEARNINGS FROM L'AFFAIRE BYJU'S



Vanity metrics for sustained success is a fallacy: The string of misguided acquisitions proves revenue-buying through buyouts is not a sustainable expansion strategy



Debt is a double-edged sword: The term loan debacle shows how taking debt for acquisitions, especially when a firm's core isn't sturdy, can bite back



Transparency is non-negotiable: A communication breakdown with the board and auditor forced nominee directors and Deloitte to exit, dealing a heavy blow to the reputation of Byju's



Independent directors key for accountability: Investors may be wary of three family members on the board. Independent directors ensure ethical, conflict-free choices



Corporate governance not an afterthought: It has had to do reactive damage control due to corporate governance oversights. For a firm of its size, an unyielding foundation of governance is critical



PR isn't the solution to everything: Despite lavish marketing, its reputation has suffered from allegations of toxic culture and mis-selling

THE EDTECH FIRM'S IMMEDIATE PRIORITIES



Secure critical capital infusion: Its survival rests on securing this pivotal fundraising, with experts suggesting a figure of \$1.5 billion



Divest for survival: If new capital isn't secured, consider asset sale to ensure vital capital backing for survival



Finding a way out of the debt mess: It must address the TLB issue, the loan linked to Aakash's cash flows, and resolve ongoing litigation



Navigate Aakash's legal maze: It should fix the complex share swap deal for Aakash to protect its only profitable business



File financial statements: Byju's should swiftly complete and submit its audited results for FY22 and FY23



Enhance cash flow: Optimise operations, refine business units, and cease unviable experiments to improve the company's financial health

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enue for a loss-making entity) to pick up the company. Once the pandemic ebbed, monthly revenue numbers dropped to ₹50 lakh with a cash burn of ₹100 crore every month.

An investor said the firm's plan seemed to be to take debt, fund M&As, and then raise equity on the revenue-multiple valuations (from acquisitions) to pay off the debt. However, Byju's ran into a streak of

bad luck as the cycle turned and equity became extremely scarce, especially for those businesses that saw numbers drop after the pandemic ebbed.

Shriram Subramanian, Founder and Managing Director of InGovern Research Services, a corporate governance advisory firm, is blunt. "Byju's was only after growth and valuations without putting many requisite business practices or value systems in place. Aggressive